

WHITCOMB REYES LLP

1900 University Avenue, Palo Alto, California

PRIVILEGED AND CONFIDENTIAL —ATTORNEY WORK PRODUCT

MEMORANDUM

To	Marisol Etxeberria, VP and Chief IP Counsel, Marsden Audio Laboratories, Inc.
From	Adrienne Whitcomb
Date	November 18, 2024
Re	Shinonome Device Solutions K.K. assertion of co-ownership, family MAL-JP-2010-0392 —preliminary assessment
Matter	41772-014

1. The assertion

By letter dated November 12, 2024 (SDS-IPL-2024-0611), Shinonome Device Solutions K.K. (“SDS”) asserts that the invention of family MAL-JP-2010-0392 arose within the scope defined in Annex A to the November 16, 2009 joint development agreement between Shinonome Electric Co., Ltd. and Marsden; that the right to obtain a patent was therefore jointly owned; that Marsden’s sole-name international application of August 17, 2011 breached Article 38 of the Japanese Patent Act; and that JP 5,617,402 is accordingly invalid under Article 123(1)(ii). SDS demands a half share across the family and ¥4,005,000,000, quantified on receipts for 2019–2024.

The letter relies on three things: the disclosure of the technology at the April 20, 2010 program review; Marsden’s own Veritan record, which shows the matter as jointly owned with Shinonome Electric at 50%; and the English courtesy translation of Article 5.1 of the agreement.

Two of those three are Marsden’s own documents. That is the problem.

2. The transfer claim is not available to SDS

Paragraph 4.1 of the letter asks for a confirmation and transfer of a half share. The statutory route for that in Japan is Article 74, which permits the person entitled to the patent to demand transfer of the patent right instead of seeking invalidation. Article 74 was introduced by Act No. 63 of 2011 and came into force on April 1, 2012. **Supplementary Provisions Article 2, paragraph 9 of that Act applies the new Article 74 only to patent applications filed on or after the date of entry into force.**

Under Article 184-3(1), an international application designating Japan is deemed to be a Japanese patent application filed on its international filing date. The international filing date here is **August 17, 2011**, which is before April 1, 2012. Article 74 is therefore unavailable to SDS.

Before the 2011 amendment there was no statutory transfer right, and the Japanese courts were reluctant to grant one to a party that had not itself filed an application (Tokyo District Court, July 17, 2002). SDS never filed anything. Ryota Gamo should confirm, but on the face of it paragraph 4.1 asks for relief Japanese law does not provide.

3. The money claim is at the edge of prescription

JP 5,617,402 was registered on **December 12, 2014**. A monetary claim arising on registration is governed by the pre-2020 Civil Code, by operation of Supplementary Provisions Article 10, paragraph 4 of the 2017 reform act, and is therefore subject to the old ten-year objective prescription period of Article 167(1).

Ten years from December 12, 2014 is **December 12, 2024**. SDS's letter is dated November 12, 2024 —four weeks before that date, and demanding a response within thirty days, which lands on December 12 exactly.

This is not a coincidence and we should read the letter accordingly. SDS is aware that the accounting demand had to be made this month or not at all.

One further point on how the demand is framed, because it decides whether the prescription argument is worth anything. Paragraph 4.2 pleads a **single claim accruing on registration**, quantified by reference to receipts in 2019 through 2024. That framing is the only reason December 12 is a boundary at all. Pleaded the other way —as an accounting for royalties actually received in each of those years —every receipt would carry its own start date and none of the sum demanded would be time-barred. The framing is theirs and they can abandon it. Treat the prescription point as something we may lose the benefit of, not as a defense we own.

4. What none of that solves

Neither point above touches the invalidation exposure, and the invalidation exposure is the one that can end the licensing program.

- Article 123(1)(ii) makes breach of Article 38 a ground of invalidity. That ground has existed since long before 2011; it is not new law.
- **There is no time limit on requesting an invalidation trial.** Article 123(3) permits a request even after the patent has lapsed. The Trademark Act imposes a five-year bar on certain grounds (Article 47); the Patent Act has no equivalent.
- Therefore: we cannot run out the clock, we cannot pay the money and be safe, and a settlement that does not close the entitlement question closes nothing.
- Time is against us and not against them. Their witnesses and ours are disappearing at the same rate, but they carry no burden to produce a document and we do.

5. Exposure outside Japan if co-ownership were established

Summarized from Mr. Vantassel's memorandum of November 15 and confirmed as to United States law:

United States. 35 U.S.C. § 262 permits each joint owner to make, use, offer to sell, sell and import without the consent of and without accounting to the other owners. The statute does not mention licensing, but the Federal Circuit supplies it: *Schering Corp. v. Roussel-UCLAF SA*, 104 F.3d 341 (Fed. Cir. 1997), holds that each co-owner's rights carry the right to license others without any co-owner's consent. *Ethicon, Inc. v. United States Surgical Corp.*, 135 F.3d 1456 (Fed. Cir. 1998), holds that all co-owners must ordinarily be joined as plaintiffs and that a co-owner may impede suit by refusing to join; *STC.UNM v. Intel Corp.*, 754 F.3d 940 (Fed. Cir. 2014), holds that this right is substantive and defeats involuntary joinder under Rule 19(a).

Practical effect in the United States: SDS could license every Marsden licensee at a rate of its choosing, keep the money, and separately veto any enforcement action.

China. Patent Law Article 14 permits a co-owner to exploit the patent alone or to grant a non-exclusive license unilaterally, subject only to distributing the royalties. Ms. Lu should advise separately.

Japan and Korea. A co-owner may work the invention itself but may not grant any license without the consent of all co-owners (Japan, Article 73(2) and (3); Korea, Article 99(3) and (4)).

Germany and the other EP validations. Article 74 EPC refers ownership to national law; in Germany that is the Bruchteilsgemeinschaft of §§ 741 ff. BGB. Self-use is permitted; the prevailing view is that a license requires the consent of all. Ms. Hollerith should advise separately.

6. Recommendation

Do not spend money on limitation, laches or estoppel arguments at this stage. They dispose of one paragraph of the letter and leave the case alive.

This turns on contemporaneous evidence about Annex A, and on nothing else. A JPO panel deciding an entitlement question in 2025 will want to know what the two companies said to each other in 2010 and 2011 about whether decoder-side work was inside the field. If that material exists and says what I expect it says, this is one letter and it is over before it is a case. If it does not exist, we are defending a fourteen-year-old factual question with the counterparty's principal exhibit being Marsden's own docketing system.

Find the 2010 and 2011 correspondence. Everything else is secondary and most of it is a waste of your money.

Adrienne Whitcomb
Whitcomb Reyes LLP